

Example Assurance LLP (Fictional Audit Firm)

Los Angeles, California

INDEPENDENT AUDITOR'S REPORT (SYNTHETIC)

To the Board of Directors and Stockholders of AMGEN INC. (Fictional Test Entity)

Opinion

We have audited the accompanying consolidated financial statements of the Company, which comprise the consolidated balance sheet as of December 31, 2023, and the related consolidated statements of income and cash flows for the year then ended, and the related notes to the consolidated financial statements. In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2023, and the results of its operations and its cash flows for the year then ended, in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP).

Basis for Opinion

These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's consolidated financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement.

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INDEPENDENT AUDITOR'S REPORT (continued)

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with U.S. GAAP, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists.

Example Assurance LLP

By: _____

John A. Partner, CPA (Signature Placeholder)

Date: February 20, 2024

CONSOLIDATED BALANCE SHEET

(In millions of U.S. dollars)

Assets	2023	2022
Cash and cash equivalents	8,900	7,250
Accounts receivable, net	3,250	3,100
Inventories	2,150	2,050
Prepaid and other current assets	1,100	1,050
Total current assets	15,400	13,450
Property, plant and equipment, net	7,800	7,600
Goodwill	27,600	27,400
Intangible assets, net	10,500	10,800
Other noncurrent assets	11,200	11,650
Total assets	72,500	70,900
Liabilities and Shareholders' Equity		
Accounts payable	2,650	2,500
Accrued liabilities	6,350	6,200
Short-term debt	3,900	4,000
Total current liabilities	12,900	12,700
Long-term debt	33,450	32,600
Deferred income taxes	1,800	1,700
Other noncurrent liabilities	50	100
Total liabilities	48,200	47,100
Common stock and additional paid-in capital		
Retained earnings	42,600	41,200
Accumulated other comprehensive loss	(800)	(600)
Treasury stock	(28,000)	(27,100)
Total shareholders' equity	24,300	23,800
Total liabilities and shareholders' equity	72,500	70,900

See accompanying notes to consolidated financial statements.

AMGEN INC. (Fictional Test Entity)

CONSOLIDATED STATEMENT OF INCOME

(In millions of U.S. dollars, except per share data)

	Year Ended Dec 31, 2023
Revenue	26,800
Cost of sales	(6,500)
Gross profit	20,300
Research and development	(4,200)
Selling, general and administrative	(5,300)
Operating income	10,800
Interest expense, net	(900)
Income before income taxes	9,900
Income tax expense	(2,500)
Net income	7,400

CONSOLIDATED STATEMENT OF CASH FLOWS

(In millions of U.S. dollars)

	Year Ended Dec 31, 2023
Net income	7,400
Adjustments to reconcile net income to net cash provided by operating activities	
Depreciation and amortization	1,650
Share-based compensation	450
Deferred income taxes	300
Changes in operating assets and liabilities	
Accounts receivable	(150)
Inventories and other assets	(120)
Accounts payable and accrued liabilities	220
Net cash provided by operating activities	9,830
Net cash used in investing activities	(2,900)
Net cash used in financing activities	(4,930)
Net increase in cash and cash equivalents	2,000
Cash and cash equivalents, beginning of year	6,900
Cash and cash equivalents, end of year	8,900

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (SUMMARY)

Fiscal Year Ended December 31, 2023

Basis of Presentation. The accompanying consolidated financial statements are prepared in accordance with U.S. GAAP and include the accounts of the Company and its consolidated subsidiaries.

Revenue Recognition. Revenue is recognized when control of promised goods or services is transferred to customers in an amount that reflects the consideration expected to be received.

Cash and Cash Equivalents. Cash and cash equivalents consist primarily of highly liquid investments with original maturities of three months or less.

Goodwill and Intangibles. Goodwill is not amortized but is tested for impairment at least annually. Intangible assets are amortized over their estimated useful lives.

Subsequent Events. Management has evaluated subsequent events through February 20, 2024, the date the financial statements were available to be issued.

These statements are synthetic examples created solely for automated document-parsing validation.